Cash Budget

	2024	2025	2026	Assumptions
Beginning cash balance	$600,000.00	$1,995,550.60	$6,396,808.89	1
Add - collection from customers	$3,383,280.00	$10,149,840.00	$16,916,400.00	2
Total receipt	$3,983,280.00	$12,145,390.60	$23,313,208.89	
Total available cash	**$3,983,280.00**	**$12,145,390.60**	**$23,313,208.89**	
Less: Disbursements				
Direct Material	$146,851.20	$437,654.40	$734,841.60	3
Direct Labour	$550,692.00	$1,549,476.00	$2,533,660.00	4
Manufacturing Overhead	$216,749.35	$721,590.40	$1,124,064.00	5
Less: Depreciation	$1,666.67	$6,000.00	$6,000.00	
Operating Expenses	$233,485.03	$614,910.22	$1,015,232.24	
Income Tax Expense	$841,618.49	$2,430,950.70	$4,036,980.65	6
Total disbursements	**$1,987,729.40**	**$5,748,581.71**	**$9,438,778.49**	
Excess (deficiency) of available cash over cash disbursements	**$1,995,550.60**	**$6,396,808.89**	**$13,874,430.41**	7
Financing				
Borrowings	$0.00			
Repayments plus interest	$0.00			
Ending cash balance	**$1,995,550.60**	**$6,396,808.89**	**$13,874,430.41**	

Asssumptions

1	The Beginning Cash Balance for Wuxly's expansion into Germany is set at $600,000, which Wuxly will re-invest from their profits of $2,492,460 (last year's profit in Canada). This profit calculation is based on Wuxly's annual revenue of $6,000,000 (Growjo) and a product retail price of $400. Given these figures, Wuxly sold 15,000 units last year. With a markup percentage of 71.20%, the cost price per unit is about $233.68. Therefore, the total cost of goods sold amounted to around $3,505,200, resulting in a profit of approximately $2,494,800. From this profit, Wuxly has allocated $600,000 as the initial investment for their German venture. The initial investment of $600,000 will cover various costs associated with entering the German market, including marketing expenses, partnerships with retailers, freight expenses, depreciation, and initial inventory. It also includes a contingency fund (10% of projected Net Sales).
2	Collections from customers are obtained from the Income Statement (Net Sales).
3	Direct Material, Direct Labour, and Manufacturing Overhead values are obtained from the Cost of Goods Manufactured Schedule. Depreciation amount is subtracted from MOH
4	Operating Expense and Income Tax Expense values are obtained from the Income Statement. Taxes are assumed to be 30% based on the corporate tax rate in Germany. (TRADING ECONOMICS)
5	Excess (deficiency) of available cash over cash disbursements = Total Receipts - Total Disbursements
6	Minimum Balance: The company aims to keep a minimum balance of $685,000 to cover at least 3 months of expenses to give ourselves a buffer in case of unexpected challenges. This is based on an industry-standard of around 73 days. (Mjmagett)
7	Wuxly is not taking any loans as it can comfortably cover its expenses by using re-invested profits.
8	The payment method is assumed to be 100% cash and not credit.